

A N N E X K

Arak Reactor Status and Conversion Protocol

Plutonium Pathway Closure — IAEA-Verified

Version 1.0 | June 2026

Incorporated by reference into the

Memorandum of Understanding Pertaining to PEACE (v7.0)

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Preamble

The Arak IR-40 heavy water reactor is a declared nuclear facility under Iran's NPT Safeguards Agreement. Its original design could produce weapons-usable plutonium. Military operations during the 2025–2026 conflict potentially rendered the reactor inoperable. If the reactor remains operable, the Parties agree to convert it to a research reactor with no weapons-usable plutonium production capability.

This Annex establishes a factual determination protocol within 30 days of the MOU's entry into force, followed by either no further action (if inoperable) or a conversion timeline within Phase II (if operable). The United States gains closure of a plutonium pathway. Iran incurs no additional obligation if the reactor is already destroyed, and conversion (if needed) follows the precedent of the JCPOA. No new centrifuge or enrichment restrictions apply.

Present-Tense Execution Principle

All obligations execute in the active present tense. Verification is performed by the IAEA. Step-back and earn-back follow Annex T.

Modularity Clause

This Annex K is self-contained. The Parties incorporate it into any existing or future agreement through a single sentence of adoption. In the event of inconsistency, Annex K governs with respect to the Arak IR-40 reactor.

Article 1: Initial Status Determination

OPERATIVE AND BINDING

1.1 Joint IAEA Inspection

Within 30 days of the entry into force of the parent MOU, the IAEA conducts a joint inspection of the Arak IR-40 reactor site. The inspection includes:

1. Visual examination of the reactor vessel, calandria, and heavy water systems.
2. Non-destructive assay of any remaining fuel or moderator.
3. Structural integrity assessment of the reactor building and auxiliary systems.
4. Review of Iranian operational records and any post-conflict damage assessments.

Iran grants the IAEA full access to the reactor site for this inspection. The United States does not request or receive direct US access; all inspection is IAEA-led. Iranian technicians accompany the IAEA team.

1.2 IAEA Certification of Operability

Within 7 days of completing the inspection, the IAEA issues a Reactor Operability Certificate with one of two findings:

Option A — Inoperable

The reactor has been rendered permanently incapable of sustained nuclear reaction or plutonium production. No further action is needed under this Annex. The IAEA updates its safeguards records accordingly.

Option B — Operable

The reactor retains the physical capability to achieve criticality or produce plutonium. The conversion protocol in Article 2 applies.

The Certificate is final and binding. Neither Party challenges the IAEA's technical finding except through the dispute resolution mechanism in Article 4.

Article 2: Conversion Protocol (If Operable)

OPERATIVE AND BINDING

2.1 Commitment to Convert

If the IAEA certifies the reactor as operable, Iran converts it to a research reactor that cannot produce weapons-usable plutonium. Conversion is completed within Phase II (Days 180–540 of the parent MOU). The IAEA supervises and verifies all conversion steps.

2.2 Conversion Standards

The converted research reactor meets the following criteria, consistent with the JCPOA's Arak Redesign provisions:

1. **No heavy water moderator** — The reactor uses light water (H₂O) or another moderator that does not produce plutonium-239 in significant quantities.
2. **LEU fuel only** — Fuel enrichment does not exceed 3.67% U-235. No plutonium-bearing fuel.
3. **Reduced thermal power** — Maximum thermal power does not exceed 1 MW (or a higher limit mutually agreed for peaceful research, provided plutonium production remains negligible).
4. **Irreversible modifications** — The original calandria and heavy water systems are physically removed or rendered permanently inoperable.

2.3 Verification

The IAEA performs the following verification functions throughout the conversion process:

1. Installs continuous monitoring equipment (cameras, radiation sensors, tamper-evident seals) throughout the conversion process.
2. Conducts quarterly physical inspections.
3. Issues a Conversion Completion Certificate when the reactor meets the standards in Article 2.2.

2.4 No New Obligations Beyond Conversion

Completion of conversion satisfies Iran's obligations regarding the Arak reactor under the parent MOU. No additional restrictions (e.g., on centrifuge research, enrichment capacity, or other facilities) apply. The reactor is usable for peaceful research, isotope production, or training.

Article 3: Joint Disposition Fund Drawdown

OPERATIVE AND BINDING

Upon IAEA certification under Article 1.2 (Option A — Inoperable), or upon IAEA issuance of the Conversion Completion Certificate under Article 2.3, Iran receives \$50 million from the Joint Disposition

Fund (parent MOU governance provisions). This amount covers the costs of inspection, conversion, and verification.

The drawdown is in addition to any other Fund drawdowns for HEU disposition pathways.

Article 4: Dispute Resolution

OPERATIVE AND BINDING

Disputes arising under this Annex — including disagreements over the IAEA's operability finding or conversion standards — are resolved through the following procedures:

1. PCC consultation within 14 days.
2. If unresolved, binding arbitration under the Permanent Court of Arbitration (PCA) in The Hague, using the expedited procedures in Annex O, Article 6 (5–7 day ruling).

No automatic step-back under Annex T applies solely to a dispute over operability or conversion, unless a Party deliberately obstructs the IAEA inspection (which constitutes a Tier 2 material disruption).

Article 5: Relationship to Other Annexes

OPERATIVE AND BINDING

Annex / Provision	Relationship
MOU Article 3.3	This Annex K replaces the placeholder line in Article 3.3 with a full operational protocol.
Annex O (IAEA Access)	The joint inspection follows Annex O access procedures.
Annex T (Step-Back)	Deliberate obstruction triggers Annex T; good-faith disputes do not.
Annex U (Shared Digital Registry)	The IAEA's Certification and all milestones are recorded.

Article 6: Incorporation by Reference

OPERATIVE AND BINDING

This Annex K is incorporable into any existing or future agreement through the following adoption sentence:

“The Parties adopt Annex K (Arak Reactor Status and Conversion Protocol) as an operative provision of this Agreement. In the event of any inconsistency, Annex K governs with respect to the Arak IR-40 reactor.”

No amendment of the parent MOU is needed. This Annex enters into force upon signature by both Parties or provisional application by exchange of diplomatic notes.

Signature Block

In witness whereof, the undersigned, being duly authorized by their respective governments, have signed this Annex K: Arak Reactor Status and Conversion Protocol.

Done at _____, this _____ day of _____, 2026, in triplicate in the English language.

For the Islamic Republic of Iran:

Name: _____

Title: _____

Date: _____

For the United States of America:

Name: _____

Title: _____

Date: _____

For the IAEA (as verification authority):

Name: Rafael Mariano Grossi, Director General

Signature Block

Date: _____

Witnessed by the Joint Secretariat (Muscat):

Signature: _____

Date: _____